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Figure 1: Company Data

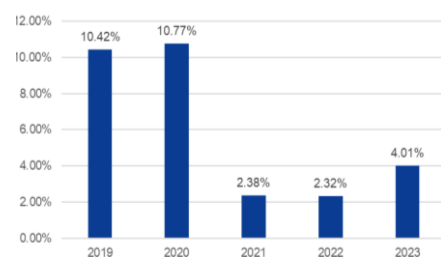
Last Close	RM4.69
Market Cap (billion)	RM15.99
Shares Outstanding (billion)	3.41
52-Week High	RM4.78
52-Week Low	RM3.60

Source: Yahoo Finance as of 26 December 2024

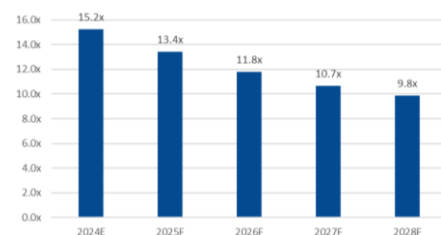
Figure 2: Valuation

DCF - Terminal	RM3.99
EV/EBITDA	RM2.45
Target Price	RM3.68
Implied Return	-22%

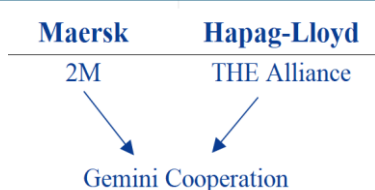
Source: Team Analysis

Figure 3: Revenue Growth


Source: Company Filing

Figure 4: Interest Coverage Ratio


Source: Team Analysis

Figure 5: New Shipping Alliance


Source: Company Filing

Executive Summary

We initiate coverage on Westports Holdings Berhad (WPRTS) with a SELL recommendation based on a 12-month price target of RM 3.68 using both intrinsic and relative valuation methods. This target price represents a 22% downside from the last close price of RM 4.69 on December 26, 2024.

Investment Summary

Investment Thesis 1: Financial Health

Dividend Reinvestment Plan could Put Off Income-Focused Investors

Westports has a 75% dividend payout policy which, we believe, has restricted the management's flexibility to grasp investment opportunities due to insufficient internal-sourced fundings. (We see this as a poor management decision, knowing that Westports is necessary to carry out aggressive investment to win the regional competition). To address the cash flow constraint, Westports is carrying out a dividend reinvestment plan (DRIP) for its Westports 2.0 expansion. DRIP will see ownership dilution as Westports will need to offer new shares in exchange for the reinvested dividends. We opine this will alienate income-focused shareholders who were initially attracted to the high payout rate. Even if the shareholders join the plan, tangible returns will only materialise after several years due to the long-time lag with Westports 2 estimated to be completed between 2036 and 2053, further testing investors' confidence and patience. Moreover, Westports is coupled with low single-digit revenue growth which may signal similarly low return from the new expansion (**Figure 3**).

Increasing debt burden

With further need of expansion, we do not see Westports' internal funds to be able to sustain further investment even with DRIP due to forecasted slow dividend & retained earnings growth. This has resulted from Westports' low single digit revenue growth, even though it shows relatively higher net income growth, we think the figures are unsustainable. There are a few volatile line items such as "other income" and "administrative expenses" on the income statement which make the bottom-line results unreliable. To obtain more consistent results, we have structured 4 scenarios where the volatile items are excluded, and they deliver lower operating profit growth (**Appendix 1**). Hence, we can expect Westports to take up more debt mainly in Sukuk, which is going to incur profit-sharing obligations that will restrict their cash flow.

Speaking of Sukuk, according to Ahmed et al. (2018), the risk-sharing nature of Sukuk might imply that the firm is not confident about the future prospects which could send negative signals to the market.¹ Reliance on Sukuk can also bring greater costs to Westports due to the uncertain cash flow payment that comes with higher risk to be compensated by the high profit rate of 4.43% - 5.38%. Furthermore, Westports issues Sukuk Wakalah Programme with perpetual tenure that comes with an indicative rate of 3.9% - 4.5%. This has locked the company into long-term profit-sharing commitment and due to the nature of Sukuk that only allows the money to be spent on specific projects or assets (**Figure 4**). The management again, in our view, limits their flexibility in fund allocation and could risk taking up more debt to refinance for other projects.

Lower capacity to capture future opportunities

As a result of the discussions above, Westports could struggle to capture future opportunities, such as the development of Carey Island and full adoption of automation technologies, to build its competitiveness. Failure to capture them could place Westports in a negative competitive position as Carey Island² is to be developed into a port city and a more efficiently integrated logistics hub with a total wharf longer than Westports. Two scenarios can be expected: 1) Westports is awarded with Carey Island but the company will overstretch its debt

Figure 6: Share of World Liner Fleet

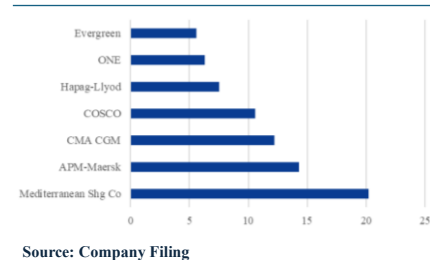


Figure 7: Westports' Main Customers

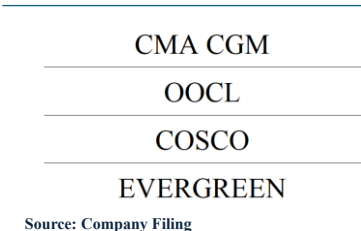


Figure 8: Transshipment Throughput ('000 TEUs)



Figure 9: Throughput



Figure 10: Westports' Ship-to-Shore Crane



level or raise additional equity to support the RM28 billion project which runs simultaneously with Westports 2 expansion. 2) Carey Island is awarded to Westports' competitors which will cause Westports' market share in Port Klang to suffer significantly. Both scenarios do not look good to the shareholders.

Investment Thesis 2: Inferior Competitive Positioning

Gemini Cooperation excludes Port Klang as their main port in Straits of Malacca

The new shipping alliance between Hapag Lloyd and Maersk (**Figure 5**), set to commence on February 1, 2025, seeks to transform the industry by simplifying the shipping network, lowering port calls per service and prioritizing highly productive terminals. The terminals will mainly be managed by Hapag-Lloyd or APM Terminals, including Port Tanjung Pelepas (PTP) where Maersk owns 30% of it (**Appendix 2**). Hence, under the new shipping network, PTP is made one of the main hubs together with Port of Singapore (PSA) along the Straits of Malacca but not Port Klang. As more port calls will be made to APM Terminals, we expect lower vessels to be directed towards Port Klang and Westports would see lower transshipment volume given both Maersk and Hapag Llyod take up 21.8% of the world liner fleet as of December 2024 (**Figure 6**).

Cooperation between PSA & Evergreen

Besides, an agreement between PSA and Evergreen was signed recently in 2024 with an offer from PSA to provide long-term terminal capacity assurance to Evergreen. With Evergreen being one of the four main customers of Westports (**Figure 7**), this could pose a threat to Westports' container volume stability as the hub will be placed lower on the priority list. Consequently, all these strategic partnerships place Westports in a passive position, potentially causing Westports to face difficulty in securing promised commitment from the shipping operators. Without direct influence over the shippers' decision, Westports' ability to attract new business may reduce, negatively impacting its long-term growth prospects.

Lagging Transshipment & Market Share Performance

The relatively weakness of Westports is evidenced by declining market share from 17.3% to 16.4% in 1Q24 (1Q23: 17.4%) within the Straits of Malacca, contributed by a 10% q-o-q drop in transshipment volume (The Star, 2024)³. Although the recent drop can be attributed to the ban of Israeli ships, Westports has shown weak transshipment growth in recent years (**Figure 8/Appendix 3**). If we look at the container and conventional throughput Westports handled, it did not show a distinct growth trend but a rather flattish outlook over the past 10 years (**Figure 9**). Therefore, we are projecting around 4% revenue growth for the next four years and 5% growth in 2028 following the completion of CT 10.

Potential IPO of MMC

MMC Port Holdings is planning an initial public offering (IPO) in Kuala Lumpur, and it may take place on 2H2025⁴. MMC holds a great number of ports in its portfolio including PTP, Northport and Penang Port, making it Westports' biggest competitor in Malaysia. Following its IPO, we believe it will drive investors' attention away from Westports and exert downward pressure on Westports' share price. According to Pulikottil (2023), the competitive effect is reflected in negative share price changes among firms within a sub-industry as investors may be concerned about intensifying competition and drop in future profitability of incumbent firms⁵. We reckon that the market has not recognised the potential impact of MMC's IPO on Westports' valuation.

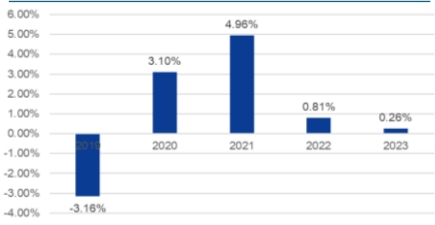
Investment Thesis 3: Slow Innovation Rate Deteriorates Competitive Advantage

Westports ranked behind both PSA & PTP according to the Container Performance Index 2023, indicating its inferior competitive positioning among its peers (**Appendix 4**). Westports could risk losing attractiveness or even relevancy to the shippers.

Port industry experiences high substitution risk

The port industry is characterized by minimal brand effect, leading to high substitution risk for ports. To stand out, ports must offer more competitive value-added service and efficient cargo handling. However, we reckon Westports risks losing its long-term competitiveness due to less active investment compared to its regional peers. For example, PTP is investing RM3 billion

Figure 11: Non-Current Asset Growth



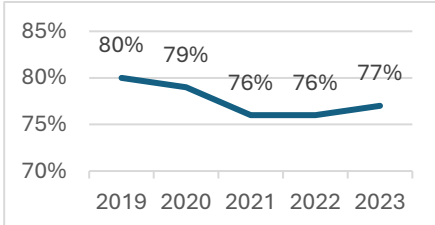
Source: Company Filing

Figure 12: PSA’s Commitment in Automation⁸

PSA participated in a Roundtable co-hosted by Singapore’s Minister for Digital Development and Information Josephine Teo and the United States (US) Secretary of Commerce focusing on collaboration and responsible development of AI between Singapore and the US. The Roundtable was also attended by organisations such as Apple, Amazon Web Services, Meta, Microsoft, Google, Grab, and the Maritime and Port Authority of Singapore

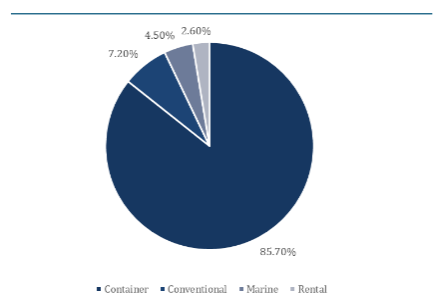
Source: PSA

Figure 13: Westports Market Share in Port Klang



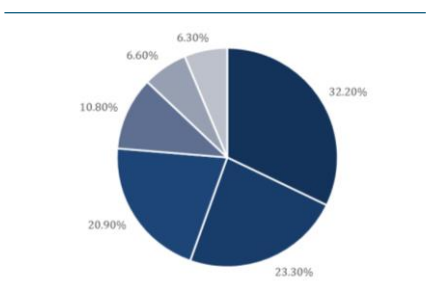
Source: Company Filing

Figure 14: 2023 4Q Revenue Segments



Source: Company Filing

Figure 15: 2023 4Q Operational Cost



Source: Company Filing

to upgrade automation, digitalisation and other functions, as indicated by its former CEO⁶. Besides, PTP is adding its crane count to 66 by the end of 2025, catching up to Westports that sees no significant growth in its crane number⁷ (Figure 10). In terms of value-added service, PTP boasts a slightly higher competitive edge with 4784 Reefer points compared to 4132 in Westports, though both dwarf in comparison to PSA with 13000 reefer points. To put it into context, we see extremely low asset growth in Westports (Figure 11), signaling a widening competitive gap which could suppress its revenue growth over the long run.

Westports has no near-term implementation plan for automation technologies

While Westports is now focusing on physical expansion to hold more capacity, its technological capability is likely to suffer. As mentioned by its management, Westports holds no near-term automation adoption plan, a huge contrast to PSA. By 2040, PSA will be offering fully automated Tuas Port to its customers, an area where it has shown active commitment in recent years (Figure 12). The port is also expected to handle 65 million TEUs, much higher than Westports’ 28 million TEUs after expansion, thereby placing Westports in an inferior position in terms of both capacity and technological advancement. Furthermore, automation can help reduce reliance on human labor which costs the most in a port business, therefore we expect PSA to see a significant reduction in labor costs, potentially leveraging the savings for further investments. This mismatch does not favor Westports given the highly substitutable nature of the industry.

Business Overview

Westports Holdings Berhad (KLSE: WPRTS | STOCK CODE: 5246) was founded in 1994 based on the visionary idea of Gnanalingam Gunanath and Ahmayuddin bin Ahmad. It has known as a privately held port concessionaire, then followed with being a part of the privatisation exercise, namely Public Private Partnership (PPP) Unit, by the Government in Malaysia. Westports launched its IPO in 2013 to capitalise on investor interest in the growth of ports.

It is strategically located at Pulau Indah, Port Klang, Klang along the Straits of Malacca, which gained Westports a strategic geographical advantage due to being situated along one of the world’s most critical shipping routes. This has led Westports to be no.1 seaport in Malaysia and second busiest port in Southeast Asia after Singapore. With its infrastructure like the natural deep harbour up to 18 meters accommodating the current 14 million TEUs vessel-seize and equipped with 67 world largest ship-to-shore cranes, it supports its operational efficiency leading to achieve new world record of 801 moves within an hour and high productivity level of 35 moves per hour consistently. These lead Westports to global competitiveness such as being top 5 container volume handled outside China, 12th busiest port globally based on containers handled, and having connections to more than 350 ports globally.

Business segments

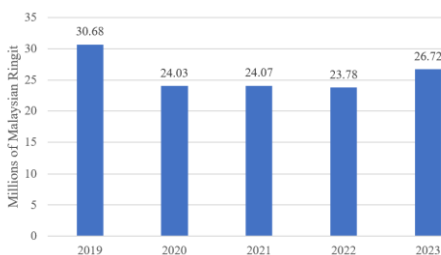
As a leading seaport, the market share of the container business comprised 77%, 17%, and 39% in Port Klang, the Malacca Straits, and Malaysia respectively in 2023 (Figure 13). Westports operates in various segments such as handling the containerised and conventional cargo and providing port services such as marine, rental and other ancillary services to domestic and international clients. Handling containerised cargo significantly accounted for 85.7% of its operational revenue in 4Q 2023 while the rest contributed in a single-digit portion (Figure 14). Operational costs include operational workforce, depreciation, fuel, M&R, electricity, and others. With operational workforce as leading cost component despite the marginally reduced headcount, it is due to higher salaries, bonus provisions, EPF contributions, allowances, and incentives that are reflected in the significant amount of cost. (Figure 16)

Westports’ history of growth, achievements, and expansion

Over the years since its establishment, Westports has grown exponentially from 20,000 Twenty-foot Equivalent Units (“TEUs”) in 1996 to astonishing 14 million TEUs in 2024. Westports is committed to focus on improving ESG, leading to win the gold award at The Edge Malaysia ESG Awards 2023 and 2024 consecutively. Furthermore, Westports has signed 3rd Supplemental Privatisation Agreement with the Government of Malaysia and the Port

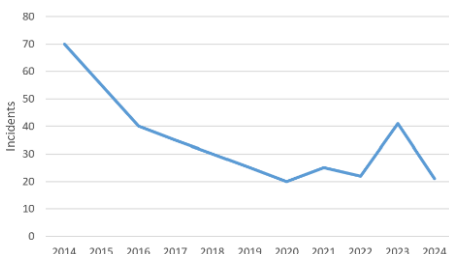
Klang Authority to facilitate Westports 2 container terminal development which will potentially bring in 28 million TEUs annually.

Figure 16: Current Port. Of LT Debt/ Capital leases



Source: Company Filing

Figure 17: Terrorism Attacks



Source: Team Analysis

Figure 18: Port Ranking

Port Name	Overall Ranking
Tanjung Pelepas (PTP)	5
Singapore (PSA)	17
Port Klang	28

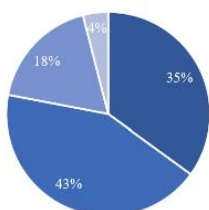
Source: World Bank

Figure 19: Automated Processes

Port Name	Automated processes
Port of Singapore (PSA)	AGV, AI, Robotic
Tanjung Pelepas (PTP)	MarineM system
Westport	None

Source: Supply Chain Digital & Container News

Figure 20: Total Primary Energy Supply by Sources (Mtoe)



■ Crude oil, petroleum products, others ■ Natural gas ■ Coal ■ Renewables & hydrogen

Source: Company Filing

Industry Overview

Capacity Constraints and Expansion Risks

Westports is making significant investments in expanding its services and facilities to meet future demands and support Malaysia's economic growth. In 2023, the government, Port Klang Authority and Westports signed a third supplemental agreement for Westports' privatization.⁹ Expanding Westports' Container Terminals (CT10 to CT17) aims to boost capacity from 14 million TEUs to 27 million TEUs by 2082. However, this expansion could raise Westports' debt and strain profitability in the short term (**Figure 16**). Significant risks include construction delays, operational disruptions and cost overrun due to supply chain issues, labour shortages and regulatory delays further complicating the execution of the expansion plans. These challenges could potentially deplete Westports' financial and operational capacity, creating a competitive disadvantage.

Geopolitical Tension: US-China Trade War

In July 2018, The United States started "Trade War 1.0" with China, imposing major tariffs that initially benefited Malaysian ports like Port Klang and Port of Tanjung Pelepas (PTP), with an 11% year-on-year rise in containerized transshipment volumes mainly from China who sought to avoid tariffs.¹⁰ The China Plus One strategy further benefited Malaysia's ports as Chinese companies expanded manufacturing abroad to diversify supply chain, increasing foreign direct investment (FDI). However, the surge in transshipment volumes was inconsistent and only a direct result.¹¹ The long-term tensions and supply chain disruptions decreased the overall global trade volumes, affecting Malaysian ports, including Westports in recent years. Additionally, China has invested in neighboring countries like Thailand and Vietnam which also have seen notable growth in their transshipment ports.¹² In January 2025, the newly elected president Donald Trump plans to impose 10% or higher tariffs on all imports into the US, especially 60% on imports from China. These tariffs and foreign developments are ongoing concerns, threatening the long-term performance and competitiveness of Malaysian ports, including Westports.

Terrorism Threats and Security Challenges

Although terrorist threats had diminished over the past 20 years, the shipping in the Strait of Malacca remain risky. Piracy in the Malacca Strait peaked in the early 2000s, particularly in 2003 and 2004 with groups like Jemaah Islamiya (JI), the Kumpulan Mujahidin Malaysia (KMM), and the Abu Sayyaf Group (ASG) of the Philippines involved in smuggling and attacks on merchant ships.¹³ From 2014 to 2018, there were nearly 200 armed attacks happened in the Southeast Asian littoral with ASG responsible for most (**Figure 17**). In response, the Malacca Strait Patrols (MSP) and Joint Coordination Centre (JCC) have improved security. Similar terrorism threats in other regions such as the Red Sea Crisis, Somali Piracy and Strait of Hormuz Tensions also impacted the global supply chain significantly.¹⁴

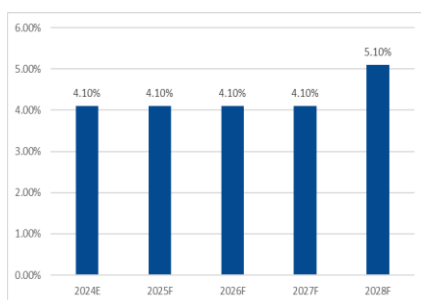
Competitive Positioning

Regional Competition along the Strait of Malacca – Negative

Westports faces intense competition, especially from Port of Singapore (PSA) and Port of Tanjung Pelepas (PTP). PSA achieved higher throughput and efficiency, with 39.01 million TEUs compared to Westports' 14.06 million TEUs in 2023.¹⁵ Moreover, the development of Tuas port which aimed to complete in the 2040s, expected to reach a capacity of 65 million TEUs, further reinforcing PSA's dominance.¹⁶ Phase 1 with 3 berths already operating since September 2022, marks the beginning of the world largest fully automated port located in Singapore.¹⁷

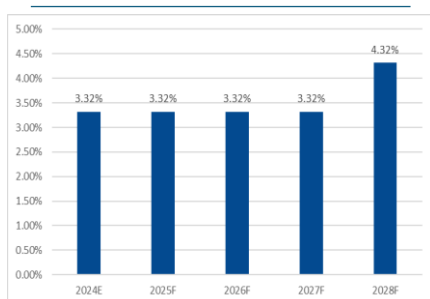
Like Westports, PTP is a transshipment hub but handles lower throughput, with 10.48 million TEUs compared to Westports' 14.06 million TEUs in 2023. Located in Johor, PTP faces a positioning disadvantage due to its distance from Malaysia's key economic zone, Klang

Figure 21: Container Segment Forecasted Growth



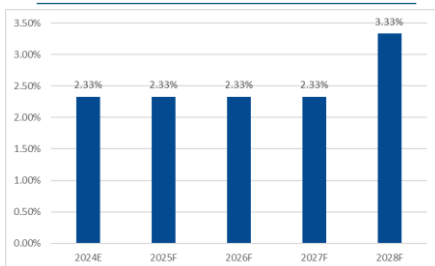
Source: Team Analysis

Figure 22: Conventional Segment Forecasted Growth



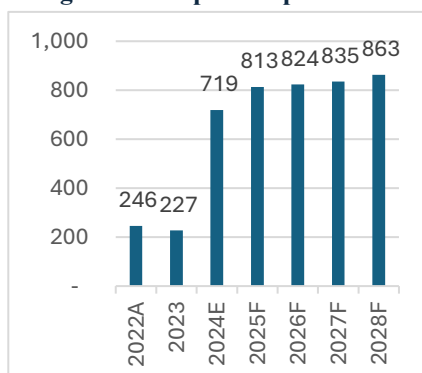
Source: Team Analysis

Figure 23: Marine Segment Forecasted Growth



Source: Team Analysis

Figure 24: Capital Expenditure



Source: Team Analysis

Valley, making it less accessible for companies targeting the central Malaysian market. Still, PTP is more efficient, ranked 5th place in the 2023 Container Port Performance Index, higher than Westports (**Figure 18**). This efficiency enhances its global recognition as a key trade gateway in Southeast Asia. Moreover, PTP benefits from more space for future expansion in Johor, while Westports is constrained by Port Klang's urban and congestion, limiting land availability and scalability.¹⁸

Technology and Automation Pressure – Negative

Most ports worldwide are increasingly adopting automation instead of manual processing to improve efficiency.¹⁹ For instance, Westports' neighbouring competitor, PSA, is minimizing disruption using automation. Most task of PSA are now performed by Automated Guided Vehicles (AGV), unmanned robots programmed to transport containers in port container terminals, meeting real-time tracking requirements and improving customer expectations, efficiency, productivity and profitability (**Figure 19**).²⁰ PSA's Tuas Port is expected to become the world's largest automated container terminal, implementing applications like AI, data analytics and robotics which further enhance the operational capabilities of the port.

Conversely, Westports is still expanding its capacity with physical infrastructure, i.e. the expansion of Westports terminal (CT10 to CT17). Although physical expansion is still necessary, it does not solve the underlying efficiency issues. Westports lags in automation, relying on manual processes instead of implementing AI and robotics, resulting in slower turnover time. Over time, Westports' competitiveness could be hindered by this automation delay.

Sustainability Goals and Green Technology – Neutral

Ports globally are prioritizing sustainability goals and green technology for long-term growth and environmental responsibility. PSA's Maritime Cluster Fund and Energy Efficiency Grant support green solutions and sustainability projects while PTP integrate green policies, aiming to reduce emissions by 45% by 2030. Similarly, Westports invested in solar power and facilities, targeting over 16,000MWh renewable energy from 2 warehouses. Westport is testing green electrification of port vehicles and equipment in its Westports 2 development, aiming to become more environmentally friendly which helps boost competitiveness and resilience.²¹ Westports follows a stakeholder-driven approach, publishing annual sustainability reports aligned with the United Nations Sustainable Development Goals (UNSDGs) and GRI standards (**Figure 20**).²² Westports is also committed to creating a safe, healthy and environmentally friendly working environment, demonstrating the port's commitment to improving its operational capabilities while simultaneously promoting a green economy and sustainable future.²³

Valuation

Both intrinsic and relative valuations are performed to determine a target price of RM **3.68** per share, applying an 80% weight to the DCF model (terminal growth) and 20% to peer company analysis (EV/EBITDA). This represents a **22%** downside from Westports' closing price of RM **4.69** as of **26 December 2024**.

Discounted Cash Flow

The DCF method is selected as the preferred absolute valuation model, as it effectively captures the long-term perspective of Westports. To achieve this, a two-stage free cash flow model is employed with a five-year projection period. This approach is particularly suitable given Westports' capital-intensive nature and its reliance on steady cash flow generation from port operations. To achieve this, we project that Westport will sustain an average growth rate of **4%** before eventually stabilizing at the same terminal growth rate.

Revenue Growth Trajectory

Westports' limited disclosure complicates forecasting for segment-specific volumes, rates, and costs. Therefore, revenue projections are based on a percentage growth methodology, preserving the CAGR for the container, conventional, and marine segments over the period from 2024 to 2027 due to competition from neighboring ports like PTP and PSA. Moreover, in 2024, challenges included the loss of Israel Zim shipments and yard congestion^{24 25}. While a proposed 15% tariff increase in 2025 could boost revenue, its impact may be offset by U.S. trade policies

Figure 25: WACC Build Up

Risk free rate	3.79%
Beta	0.543
Equity Risk Premium	6.35%
Cost of Equity	7.24%
Pre-Tax Cost of Debt	4.90%
Tax Rate	24%
After Tax Cost of Debt	3.72%
Weighted Average Equity	80.48%
Weighted Average Debt	19.52%
WACC	6.55%

Source: Team Analysis

Figure 26: Sensitivity Analysis Table

	WACC			
	5.55%	6.55%	7.55%	8.55%
3%	4.13	2.98	2.34	1.93
4%	6.52	3.99	2.88	2.27
5%	17.60	6.29	3.85	2.79
6%	-20.56	16.96	6.07	3.72

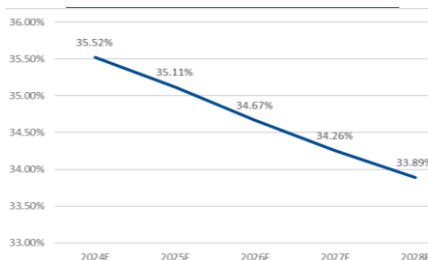
Source: Team Analysis

Figure 27: Scenario Analysis

	Base case	Bear case	Bull case
Container Segment		-1%	+1%
Conventional Segment			
Marine Segment			
Forecasted price	3.99	3.73	4.25

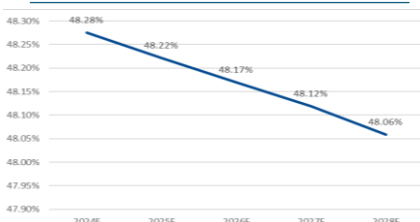
Source: Team Analysis

Figure 28: Net Profit Margin



Source: Team Analysis

Figure 29: EBITDA Margin



Source: Team Analysis

under President-elect Trump, potentially suppressing global trade²⁶. By 2028, revenue growth is expected to rise marginally by 1%, driven by the CT10 terminal launch and a 13% tariff hike, though regional competition will limit gains ^{27 28} (Figure 21) (Figure 22) (Figure 23). For the rental and construction segments, which are not Westports' core business areas, their performance is anticipated to remain consistent with the average for the past five years.

Increased Capital Expenditure

Capital Expenditure (CAPEX) is primarily focused on the purchase of property, plants and equipment and additions to concession assets (Figure 24). Firstly, we have incorporated the RM 355 million refinancing cost for the Marine Land acquisition, sourced from the Sukuk Wakalah Programme, into the concession asset. Moving on, we have projected the CAPEX from FY2024 to FY2028 based on the average CAPEX to revenue ratio from the historical 5 years. This assumes Westports avoids discretionary maintenance costs, allocating all CAPEX to long-term growth projects like capacity expansion and technology upgrades. Additionally, we have also considered the Westports 2 expansion CAPEX requirement based on their Phase 1 plan of annual CAPEX of RM 250 million to RM 600 million. We projected an annual increase in CAPEX of **RM 425** based on the middle point million from FY2025 to FY2028. Apart from that, we forecast that there will be an addition CAPEX for right-of-use assets from the loan drawn down from lease liabilities. These factors represent an approximate increase of **342%** in CAPEX from FY2022 to FY2028.

Weighted Average Cost of Capital

Cost of Equity: The cost of equity was calculated at **7.24%** using the Capital Asset Pricing Model (CAPM). This calculation incorporates a risk-free rate of 3.79%, based on the yield of 10-year Malaysian Government Securities - Conventional as of December 10, 2024; an adjusted beta of 0.543, derived from a 5-year regression against the FTSE Bursa Malaysia KLCI using Bloomberg Terminal data; and a market risk premium of 6.35%, sourced from Professor Damodaran's research.

Cost of Debt: Weighted average methodology is used to compute the cost of debt. Considering the different debt instruments used by Westport, we have computed the pre-tax cost of debt of **4.90%**. Multiplying this value with the fixed Malaysia corporate tax rate of **24%**, we obtained the after-tax cost of debt **3.72%**. WACC value of **6.55%** is computed using the after-tax cost of debt, cost of equity and their weighted average. (Figure 25)

Terminal Growth

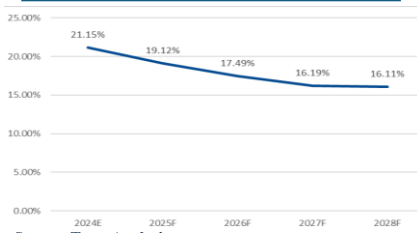
A terminal growth rate of **4%** has been assumed based on two primary considerations. First, Malaysia's average GDP growth from 2006 to 2023 was approximately 4.38%, leading to the selection of a rate close to this historical figure ²⁹. Second, growth is expected to remain stable at below 5%, influenced by intense market competition and Westports' challenges in keeping pace with technological advancements.

Sensitivity and Scenario Analysis

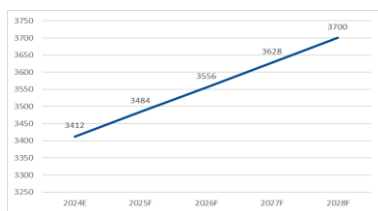
A sensitivity analysis of the stock's expected price is conducted, varying the weighted average cost of capital (WACC) and terminal growth rate (g) (Figure 26). The current stock price of **RM 4.69** (as of **December 26, 2024**) serves as a benchmark: prices below it are highlighted in red (overvaluation), and prices above it are marked in green (undervaluation). As shown, **10 of 16** scenarios are red, with only **6** in green. Specifically, the analysis shows that for realistic WACC levels of **6.55%** and above, most computed values are below the current price, as reflected by the predominance of red cells. When applying a g of **4%**, aligned with our team's projected growth for Westports, the expected price also remains below **RM 4.69** at WACC values of **6.55%** or higher. This indicates that under plausible assumptions for WACC and g, the stock appears to be overvalued in the market. Additionally, three scenarios: bull, base, and bear are modeled to reflect variations in revenue growth across each segment due to competition, with a 1% increase in each segment in the bull case and a 1% decrease in each segment in the bear case (Figure 27). In all scenarios, the forecasted prices remain below the current price, suggesting the stock is overvalued.

Peer Company Analysis

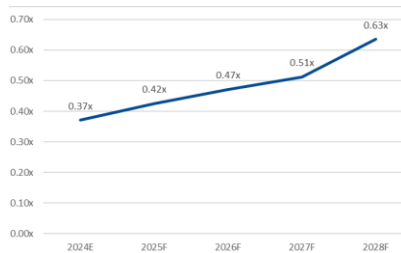
The companies are sourced from the Bloomberg Terminal as of **19 December 2024** and meet the criteria of operating within the same industry sector and geographical region, specifically

Figure 30: ROE

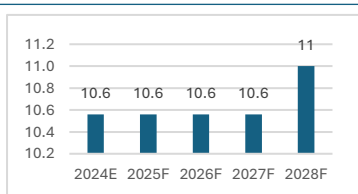
Source: Team Analysis

Figure 31: Outstanding Shares

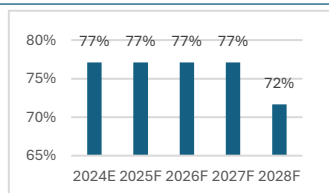
Source: Team Analysis

Figure 32: Debt to Equity

Source: Team Analysis

Figure 33: Container Throughput (million)

Source: Team Analysis

Figure 34: Capacity Utilization

Source: Team Analysis

surrounding India, China, and Southeast Asia. Certain companies were excluded from the list due to their negative net debt, resulting in a negative enterprise value, which would distort the accuracy of the data. All companies included are publicly listed, ensuring the availability of reliable information. The EV/EBITDA ratio was calculated for each company, and the median EV/EBITDA was used to determine the share value of Westports. The median was selected to reduce the impact of outliers on the analysis (**Appendix 5**).

Financial Analysis (Appendix 6)

Gradual Decline in Profitability Results in Limited Returns to Equity Holders

Analyzing the net profit margin alongside the EBITDA margin, these metrics are anticipated to gradually drop throughout the forecasted period (**Figure 28**) (**Figure 29**). This is because costs are expected to remain relatively stable, while revenue growth is projected at a modest 4%, resulting in a slight decline in margins. Consequently, the forecasted ROE is expected to drop to around 20%, a level it has never reached before (**Figure 30**). Despite equity injections of RM800 million to RM1.2 billion by 2027 through dividend reinvestment (DRIP), share placements, or strategic investors, most funds will be allocated to CAPEX. With slowing revenue growth, ROE for investors is likely to remain low. Similarly, the growth in EPS also slightly drops, hindered by the DRIP. Westports is expected to issue new shares at a 5% discount, in line with Bursa Malaysia's 10% limit, while implementing DRIP that retains one-third of dividends for share repurchases. This will increase the number of outstanding shares, leading to equity dilution, which may suppress EPS growth and reduce dividend income for income-focused investors (**Figure 31**).

Ordinal Efficiency

Firstly, regarding the asset turnover ratio, it has shown a decline. The increase in assets is primarily attributed to the company's expansion plans, which are expected to commence only in the third half of 2028. As a result, the expansion will not contribute significantly to revenue in the near term. Given the projected low revenue, this explains the decrease in the asset turnover ratio. Secondly, in terms of operating efficiency, it has been maintained at 12.62%, based on a simple average over the past 5 years. It is anticipated to remain stable, as no significant changes or future developments in technology and automation at Westports have been announced, leaving operating expenses unchanged.

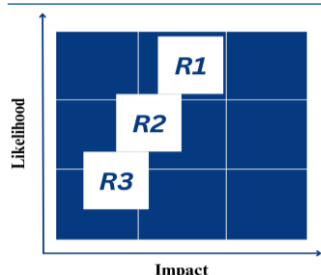
Rising Debt Level

Based on the past historical years for Westport, its debt-to-equity ratio has been consistently dropping from 2019-2023. However, we forecast that the debt to equity will start rising by FY2024 (**Figure 32**). Adding on to their Sukuk Musharakah Medium Term Note, Westport will take on the additional Wakalah Shariah principle Sukuk Programme for Westport 2 expansion. The first drawdown of RM 355 million from the Wakalah Shariah principle Sukuk Programme was due to the Marina Land Acquisition in FY 2024. Moving on, we forecast that loan drawdown will be 40% of capital expenditure in FY 2024-28. We foresee that Westport debt to equity ratio will be rising to 0.63 by FY2028 due to the additional debt intake.

Concerns About the Necessity of Expanding Westport 2

Analyzing container throughput, projections indicate that over the next four years, throughput will remain constant, averaging the levels of the past five years. By FY2028, the situation is expected to improve, with throughput projected to reach a record high of 11 million TEUs, driven by the completion of CT 10 (**Figure 33**). Consequently, the TEU growth rate is projected to remain stagnant for the next four years, with only a 4% increase anticipated in the fifth year. Examining capacity utilization further highlights this issue. Over the past five years, Westports has operated at approximately 80% of its capacity, a level sufficient to ensure smooth operations and adapt to fluctuations in demand. However, with TEU growth projected to remain relatively flat, the port is likely to continue operating at this level for the foreseeable future. Furthermore, with increased capacity from CT10, the port's capacity utilization is expected to decline by FY2028 (**Figure 34**). This raises a critical issue: the necessity of expanding Westport 2. Given the consistent utilization rate of around 80%, it remains uncertain whether the company truly requires this expansion.

Figure 35: Risk Matrix



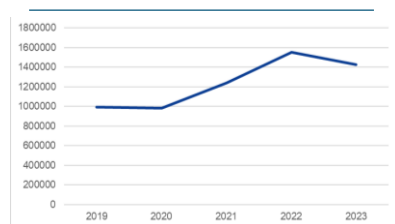
Source: Team Analysis

Figure 36: Expansion Completion Period

	P1	P2 (&P3)
Westports 2	2024 - 2038	2036 - 2053
Carey Island	2040	2060
Tuas Port	2040	-

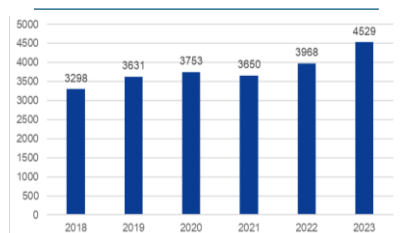
Source: Company Filing

Figure 37: Malaysia's Export Value (RM million)



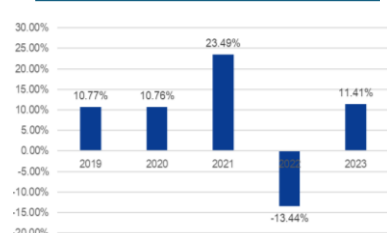
Source: Department of Statistics of Malaysia

Figure 38: Gateway Throughput ('000 TEUs)



Source: Company Filing

Figure 39: Profit Growth



Source: Company Filing

Investment Risk (Figure 35)

Risk 1: Westports 2.0 Expansion

Westports has started its Westport 2 expansion plan which will see the addition of CT10-17, increasing the port capacity to 28 million TEUs from 14 million TEUs. Westports is expected to be able to capture larger shipment volumes and accommodate larger vessels along the Strait of Malacca that account for about 30% of the global maritime traffic³⁰.

Mitigating Factor: Westports is not expanding alone, its competitors such as PSA, Northport and PTP are all eyeing to increase their competitive advantage in an industry with high substitution risk. Besides, Westports is not expecting any absolute return from the heavy investment any time soon due to the long-time lag from the construction activities. In fact, its CT10 will only be operational in 3Q2028 and CT11 is expected to be available by 2H29. Consequently, Westports will still be required to rely on existing infrastructure to sustain its cash flow and investment needs, potentially straining its financial resources. The time lag amplifies risk from the shifting geopolitical landscape and simultaneous, or not faster, competitor expansions, raising uncertainties about the eventual return of this expansion (Figure 36).

Risk 2: Macroeconomic Trend

Westports has been benefiting from the congestion issue in Singapore which has caused a spillover effect to Port Klang, and it is expected to persist. Consequently, both ports in Port Klang are receiving higher ad-hoc calls and Westports even achieved 100% occupancy rate of its container yard in June 2024 (Nair, 2024)³¹. In the near term, Westports could see more revenue from higher throughput. Besides, Westports is seeing growing gateway volume from better trade performance in Malaysia (Figure 37), potentially benefiting from the China + 1 trend as countries are making Southeast Asian countries their alternative manufacturing location (Figure 38).

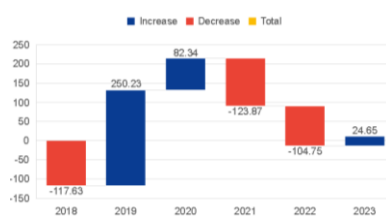
Mitigating Factor: The increasing volume brought by favorable macroeconomic trends is very likely to be shared or directed away by competitors regionally and internationally. First, the spillover effect will not be sustainable as competitors are also striving to expand their capacity and increase technological efficiency. As time passes, competitors will adapt to accommodate and address the congestion issue, and we will see less spillover happening. Second, Vietnam being the main beneficiary from China + 1 due to its cheaper labour and strategic shipping location could attract more foreign direct investment (FDI) in the manufacturing sector, leading to the rise in export volume. In 2020, 58.2% of total FDI in Vietnam were directed to the manufacturing and processing sector (Redaktion, 2022)³². To support the growth, Vietnam aims to handle 46-54 million TEU of containers by 2030 and achieve an average growth of 4.2%-4.8% per year in cargo capacity by 2050³³. In short, Westports' current gains in port calls may be unsustainable as congestion eases and gateway growth remains limited, with increasing regional competition.

Risk 3: Growing Profits

Westports is boasting its ability to reduce its costs that is translating into higher operating profit and bottom-line growth as compared to its revenue increment (Figure 39). This could suggest Westports is increasingly efficient in its operations, sending positive signals to the market. If this trend continues, share price could be driven up as such healthy accounting figures could outweigh Westports' other weaknesses.

Mitigating Factor: However, these accounting figures are susceptible to manipulation, making them unreliable in reflecting the company's true financial health. For instance, Westports reported a 10% reduction in operating costs, largely attributed to a 31% drop in depreciation charges, resulting simply from an extension of concession assets rather than any actual operational improvement. Additionally, Westports struggles to build a healthy cash reserve, suggesting huge cash outflows despite seemingly strong profits (Figure 40). Among its cash flow, net financing cash outflow takes up consistently around 35% of sales. Although it is primarily tied to dividends, with dividend reinvestment plan and Sukuk, Westports could see higher profit-sharing obligation over the long term. Furthermore, we project Westports' leverage ratio to increase from 1.66x to 1.83x over the forecasted periods, adding more burden on its cash flow health and limiting flexibility to reinvest.

Figure 40: Net change in Cash & Equivalent



Source: Company Filing

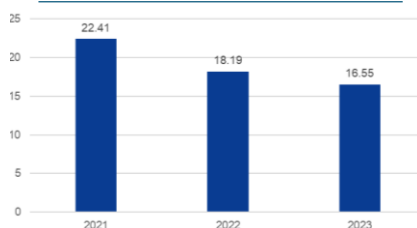
Figure 41: ESG Scoring

ESG Rating	E	S	G
Bloomberg Terminal	3.34	5.56	6.42
LSEG	6.1	7.9	7.5
Team Analysis	6.34	7.34	6.34

On a scale of 10

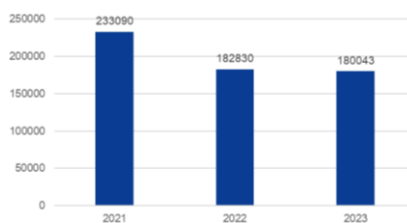
Source: Bloomberg Terminal/LSEG/Team Analysis

Figure 42: GHG Intensity (CO₂eq/TEU Volume)



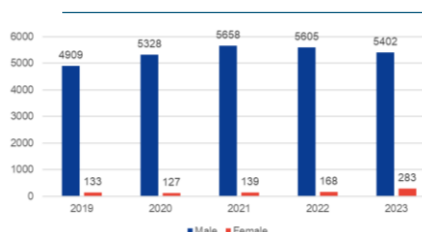
Source: Company Filing

Figure 43: Operational Emissions (tCO₂e)



Source: Company Filing

Figure 44: Employees Gender Distribution



Source: Company Filing

ESG (Figure 41/Appendix 11)

Environmental (3.17/5)

Commitment to Net Zero and Decarbonisation Efforts 3/5

Westports is committed to achieve net zero carbon emissions by 2050, aligning with the Task Force on Climate-Related Financial Disclosures (“TCFD”) framework. Key initiatives include transitioning from diesel-powered equipment to electric alternatives and optimizing Variable Speed and Hybrid RTGs to meet Clean Air Regulation 2014 standards for fuel efficiency. Furthermore, Westports has completed its solar panel projects, for instance, the TSG Hall installation has yielded 232,989kWh in 2023. Westports is making efforts to reduce the Scope 1 and 2 emissions through electrification of equipment and energy-efficient technologies. However, wide-scale implementation of these technologies has yet to be seen, hence we opine there is still a huge room for improvement.

Focus on Biodiversity Conservation 3/5

Westports has also shown efforts in protecting environmental sustainability to reverse the damage done by its operation and expansion plan. As part of this effort, Westports has secured an extension of Environmental Impact Assessment approval for Westports 2 to exercise its flexibility for mangrove planting on 97 hectares of land. In fact, mangrove replanting initiatives have started since 2015, recording over 9,600 mangrove plantations by 2023. Sadly, we believe that this effort is insufficient to offset the damage caused by Westports, directly and indirectly, to nature.

Adoption of Sustainable Supply Chain 3.5/5

Ensuring the incorporation of a sustainable supply chain in Westports, environmental elements are included in contractual clauses and supplier training. The clauses require suppliers to assess and reduce their environmental impacts, including carbon emissions, throughout their operations. Non-compliant suppliers may face retraining, re-auditing, or even contract revocation. Not only that, Westports also encourages suppliers to adopt solar panels and obtain environmental certifications such as ISO 14001, ISO 9001 and more to be the recipients of additional merits in their applications. These actionable steps aim to eliminate Scope 1, 2, and 3 carbon emissions in Westports. For instance, Westports has shown improvement in both GHG intensity and operational emissions under Scope 2 carbon emissions (**Figure 42/43**).

Social (3.67/5)

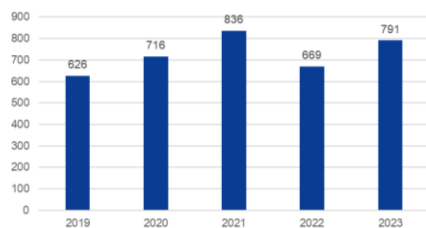
Community Engagement and Development 4/5

Westports shows care to the Pulau Indah community by dedicating the efforts to its social development such as upgrading infrastructures and promoting local employment based on its Community Engagement Policy. Importantly, Westports has strived to build ongoing partnerships with local authorities and services such as Klinik Westports and ambulance support. In 2023, Westports opened a 24-hour clinic not only for its staff but also the public. Westports had also spent RM1,594,099 on corporate social responsibility (CSR) initiatives, in addition to RM 727,401 through the Westports Foundation.

Advancing Workforce Diversity and Well-being 3/5

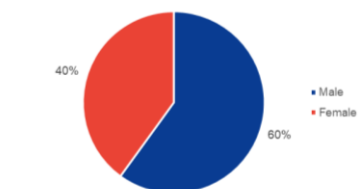
Despite efforts to enhance diversity and inclusiveness among employees at Westports such as the Equal Employment Opportunity Policy, the company still records huge gender disparity. According to its Sustainability Report, female workers accounted for merely 5% of total workforce (**Figure 44**). A similar trend is evident in managerial roles, with women comprising just 14% of top management positions. Furthermore, Westports recorded a 78.5% employee satisfaction rate in January 2023, but failed to meet its target of 80%, based on a survey with 71% participation. To increase satisfaction, Westports may need to ramp up its safety performance as it recorded an increase in accidents in 2023, though it improved compared to FY2021 (**Figure 45**). Additionally, we acknowledge Westports’ willingness to compensate its employees as indicated by its management’s practice of keeping a minimum wage higher than the national standard. Westports is considering an increase to RM1900 following the national wage upgrade to RM 1700. In short, Westports shows moderate performance in taking care of employees’ wellbeing with much emphasis needed on gender inclusivity.

Figure 45: Incidents & Accidents



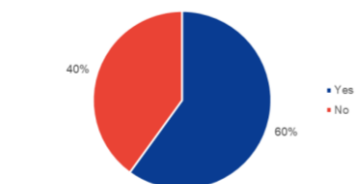
Source: Company Filing

Figure 46: BOD's Gender Composition



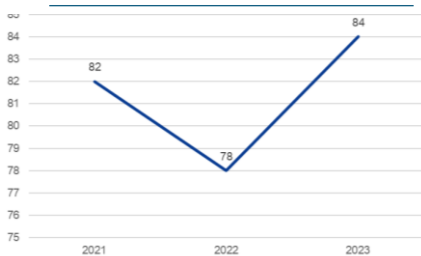
Source: Company Filing

Figure 47: BOD's Independence Status



Source: Company Filing

Figure 48: EC salary to average staff salary (Multiples)



Source: Company Filing

Social Responsibility in the Supply Chain 4/5

Westports' procurement decisions and supply chain management strategies are integrated with ESG objectives such as having strict zero tolerance for human rights violations and promotion of fair wages, working conditions, and anti-discrimination. Besides, Westports is extending its anti-corruption efforts to the supply chain where it will conduct a risk assessment on its contractors and intermediaries on a quarterly basis. The company also requires its suppliers to comply with the standards set by Malaysian Labour Law and the International Labour Organization (ILO). It carries out supplier screening, training questionnaires and risk assessments to ensure a truly socially responsible supply chain. The criteria include but is not limited to ensuring equal employees' opportunities and prohibition of child and forced labour. Lastly, Westports shows its commitment by setting a milestone while it expects all vendors to demonstrate a commitment to sustainability by 2030, such as having a sustainability roadmap, future sustainability plans and the detailed disclosure of sustainability efforts.

Governance (3.17/5)

Board of Directors 3.5/5

Westports has 10 directors on its board with 40% of them represented by females in 2023, exceeding its goal of 30% (**Figure 46/Appendix 12**). Besides, 60% of the directors are independent (**Figure 47**), thereby ensuring independent and rational judgement, at the same time, holding management accountable to shareholders. Furthermore, the re-election of several directors has undergone shareholders voting as seen in its annual general meeting minutes. However, the chairperson is independent which makes us lower the score to just slightly above average.

Executive Compensation 2/5

Starting in 2023, Westports has reinforced its commitment to ESG by tying executive compensation to sustainability targets. However, apart from this, there is no clear information declared on pay structure and performance criteria. The company mentioned not to disclose the details in its annual report, despite the MCCG's recommendation, citing concerns of possible harm to its competitive position. Nonetheless, we know that top 5 senior managers were getting RM 350,000 and the Executive Chairman got RM 5,012,000 in 2023, approximately 84 times the average employee salary, an increase from 78% in 2022 (**Figure 48**). This has suggested a growing pay disparity and may raise employee dissatisfaction.

Shareholder Ownership 4/5

As of December 29th, 2024, Westports had 5612 shareholders holding a total of 3.41 billion shares. The largest shareholder is Pembinaan Redzai Sdn Bhd with 41.07% of ownership stakes, followed by South Port Investment Holdings Limited at 23.55% and EPF at 5.71% (**Appendix 14**). Foreign shareholding was 26.75%, which included South Port Investment Holdings Limited. Furthermore, the Ministry of Finance holds a RM1 special share, ensuring Westports' major decisions are consistent with the government policies. However, the ministry carries no rights to vote. Hence, we believe no single shareholder exerts significant influence, and despite the involvement of ministry, Westports upholds a strict zero-political contributions policy, ensuring its independence.

Appendix

Appendix 1: Four simulated scenarios on operating profit performance

RM million	2023	2022	2021	2020	2019
Operating Profit (OP)	1037.46	950.09	1101.7	930.32	848.76
OP if admin ex is held constant at 2019 level	984.81	916.27	1046.95	917.87	848.76
OP if excl. other income	1006.44	942.11	1015.59	904.43	835.90
OP excl. other income using first scenario as base OP figure	953.79	908.29	960.84	891.98	835.90
OP excl. admin ex. & other income	1034.89	989.39	1041.94	973.08	917

Source: Team Analysis

Due to the presence of volatile line items in the income statement such as administrative expense and other income, 4 different scenarios are simulated to remove the effect of those unstable figures. 1) Operating profit when administrative expense is held constant at RM 81.1 million (2019 level): Operating profit shows slightly lower growth than the base scenario. 2) Operating profit excluding other income 3) Operating profit from the 1st scenario excluding other income 4) Operating profit excluding administrative expense and other income: the growth rates are much lower than the base case and experience less volatility.

Appendix 2: APM Terminals



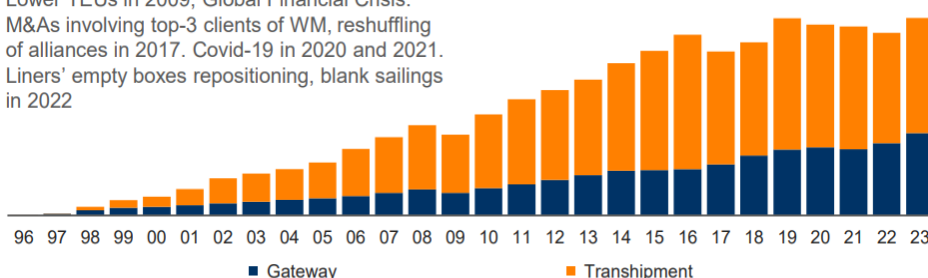
Source: APM Terminals

The Gemini Cooperation aims to streamline the shipping network by focusing on fewer ports/hubs. The alliance intends to make more port calls at locations mainly controlled by Maersk or Hapag-Lloyd. For example, Maersk's APM Terminal includes Port Tanjung Pelepas in its list but excludes Port Klang.

Appendix 3: Westports' Container Volume Performance

Container Volume (million TEUs)

Lower TEUs in 2009, Global Financial Crisis.
M&As involving top-3 clients of WM, reshuffling of alliances in 2017. Covid-19 in 2020 and 2021.
Liners' empty boxes repositioning, blank sailings in 2022



Source: Westports' Management Presentation Deck

The growth in container volume of Westports has shown a weak and stagnant trend starting in 2017, especially in the transshipment volume. Despite being an important source of revenue, Westports has struggled to attract more shippers to increase its transshipment container volume.

Appendix 4: Container Performance Index 2023

According to the assessment done by The World Bank and S&P Global Market Intelligence, Port Klang is found to underperform both PTP and Singapore Port in terms of throughput as it is ranked behind them in the Container Performance Index 2023. This has illustrated Westports' comparatively lower competitive edge than its peers, which could further deteriorate following the slow innovation rate as discussed in our third investment thesis.

PORT NAME	REGION	OVERALL RANKING	PORT NAME	REGION	OVERALL RANKING
YANGSHAN	Large	1	LAEM CHABANG	Large	46
SALALAH	Large	2	QINZHOU	Large	52
TANGER-MEDITERRANEAN	Large	3	JEBEL ALI	Large	58
TANJUNG PELEPAS	Large	4	TOKYO	Large	59
CHIWAN	Large	5	JEDDAH	Large	64
GUANGZHOU	Large	7	ANTWERP	Large	82
CAI MEP	Large	8	JAWAHARLAL NEHRU PORT	Large	90
NINGBO	Large	11	ZHOUSHAN	Large	94
ALGECIRAS	Large	12	ROTTERDAM	Large	97
MAWAN	Large	13	NEW YORK & NEW JERSEY	Large	99
DALIAN	Large	14	COLON	Large	107
HONG KONG	Large	15	BREMERHAVEN	Large	110
PORT SAID	Large	16	CAT LAI	Large	112
SINGAPORE	Large	19	SHANGHAI	Large	114
TANJUNG PRIOK	Large	20	HAMBURG	Large	117
LIANYUNGANG	Large	21	PIRAEUS	Large	125
MUNDRA	Large	22	SAIGON	Large	144
KAOHSIUNG	Large	23	QINGDAO	Large	150
YANTIAN	Large	24	VALENCIA	Large	152
SHEKOU	Large	25	MANILA	Large	307
TIANJIN	Large	28	SANTOS	Large	334
PORT KLANG	Large	29	LONG BEACH	Large	376
XIAMEN	Large	31	LOS ANGELES	Large	378
BUSAN	Large	35	SAVANNAH	Large	398
COLOMBO	Large	40			

Source: The World Bank ³⁵

Appendix 5: Peer Company Analysis

Company	Market Data				Financials		Valuation
	Share Price (RM)	Shares Outstanding (mil)	Equity Value (RM mil)	Net Debt (RM mil)	Enterprise Value (RM mil)	EBITDA (RM mil)	EV/EBITDA
Westports Holdings Bhd	4.49	3,410	15,311	340	15,651	1,377	11.4x
Beibu Gulf Port Co Ltd	4.72	1,772	8,364	10,050	18,413	3,061	6.0x
JSW Infrastructure Ltd	16.64	2,052	34,137	4,484	38,621	19,242	2.0x
Ningbo Zhoushan Port Co Ltd	2.36	19,454	45,912	10,368	56,280	8,535	6.6x
International Container TerminalSrvcsIn	29.38	2,032	59,700	3,069	62,769	1,506	41.7x
Adani Ports and Special Economic Zone Ld	63.86	2,160	137,944	410,100	548,044	157,842	3.5x
China Merchants Port Group Co. Ltd. B	7.10	2,499	17,744	37,258	55,002	7,409	7.4x
High							41.7x
75th Percentile							7.2x
Average							11.2x
Median							6.3x
25th Percentile							4.1x
Low							2.0x
Westports Holdings Berhad Valuation							EV/EBITDA
Implied Enterprise Value							8,684
Net Debt							340
Implied Market Value							8,344
Shares Outstanding							3,410
Implied Value Per Share							2.45

Source: Bloomberg Terminal, Team Analysis

Appendix 6: Financial Analysis

Financial Analysis	2019A	2020A	2021A	2022A	2023A	2024E	2025F	2026F	2027F	2028F
Profitability										
Net Profit Margin	33.15%	33.08%	40.03%	33.78%	36.11%	35.52%	35.11%	34.67%	34.26%	33.89%
EBITDA Margin	47.62%	47.09%	54.48%	45.92%	48.23%	48.28%	48.22%	48.17%	48.12%	48.06%
ROE	23.09%	23.10%	25.87%	21.36%	22.07%	21.16%	19.13%	17.49%	16.20%	16.11%
EPS	RM0.17	RM0.19	RM0.24	RM0.20	RM0.23	RM0.23	RM0.23	RM0.23	RM0.23	RM0.24
Efficiency Ratios										
Asset Turnover	34.74%	37.54%	37.32%	39.17%	40.31%	35.95%	32.46%	29.73%	27.54%	25.94%
Operating Efficiency	15.48%	13.11%	10.64%	11.99%	10.64%	12.62%	12.62%	12.62%	12.62%	12.62%
Leverage Ratios										
Debt to Equity	0.60x	0.48x	0.36x	0.29x	0.22x	0.37x	0.42x	0.47x	0.51x	0.63x
Interest Coverage	9.3x	11.3x	14.9x	14.6x	18.9x	15.2x	13.4x	11.8x	10.7x	9.8x
Port-Specific Ratios										
TEU Growth Rate	15%	-4%	-1%	-3%	8%	-3%	0%	0%	0%	4%
Capacity Utilization	78%	77%	76%	74%	80%	77%	77%	77%	77%	72%
Projection of Container Throughput and Handling Capacity										
Container Throughput (million TEUs)	10.9	10.5	10.4	10.1	10.9	10.6	10.6	10.6	10.6	11
Container Handling Capacity (million TEUs)	13.9	13.6	13.6	13.7	13.7	13.7	13.7	13.7	13.7	15.3

Source: Team Analysis

Appendix 7: Statement of Profit or Loss

In MYR millions	2019A Actual RM	2020A Actual RM	2021A Actual RM	2022A Actual RM	2023A Actual RM	2024E Expected RM	2025F Forecast RM	2026F Forecast RM	2027F Forecast RM	2028F Forecast RM
Revenue	1,783	1,975	2,021	2,069	2,152	2,213	2,297	2,384	2,475	2,594
Cost of Sales	(671)	(812)	(791)	(879)	(916)	(898)	(932)	(968)	(1,005)	(1,053)
Gross Profit	1,112	1,163	1,230	1,190	1,236	1,315	1,365	1,417	1,471	1,541
Other Income	13	26	86	8	31	33	33	33	33	33
Operating Expenses	(276)	(259)	(215)	(248)	(229)	(279)	(290)	(301)	(312)	(327)
Results from Operating Activities	849	930	1,101	950	1,038	1,068	1,108	1,149	1,191	1,246
Finance Income	16	17	13	12	11	14	14	14	14	14
Finance Cost	(91)	(83)	(74)	(65)	(55)	(70)	(83)	(97)	(112)	(127)
Share of Results of a Joint Venture	-	-	-	46	10	19	19	19	19	19
Profit before Tax	774	864	1,040	943	1,004	1,031	1,058	1,084	1,112	1,153
Taxation	(183)	(211)	(231)	(244)	(227)	(245)	(251)	(257)	(264)	(274)
Profit after Tax	591	653	809	699	777	786	807	827	848	879

Assumption for the Statement Of Profit or Loss

Revenue	Based on estimated container, conventional, marine, rental & construction revenue (See: Revenue Growth Trajectory)
Cost of sales	Based on a gross margin of 59%
Other income	Assumed to be constant
Operating Expenses	Based on an operating margin of 47% throughout the forecasted period, which is the simple average of the past 5 years
Finance income	Assumed to be constant
Finance Cost	Total interest expense from Sukuk Musharakah Medium Term Note, Wakalah Sukuk Programme, Service Concession Obligation, and Lease Liabilities
Share of Results of a joint venture	Assumed to be constant
Taxation	Assumed to be constant

Source: Team Analysis

Appendix 8: Statement of Financial Position

In MYR millions	2019 Actual RM	2020 Actual RM	2021 Actual RM	2022 Actual RM	2023 Actual RM	2024 Expected RM	2025 Forecast RM	2026 Forecast RM	2027 Forecast RM	2028 Forecast RM
Non Current Assets										
Property, Plant, and Equipment	1,656	1,619	1,727	1,776	1,739	1,816	2,294	2,749	3,179	3,588
Concession Asset	2,358	2,468	2,499	2,444	2,478	2,865	2,896	2,928	2,959	2,991
Right-of-use Asset	59	62	67	62	67	121	163	181	174	153
Investment in a Joint Venture	-	-	115	161	171	171	171	171	171	171
Investment	-	50	-	-	-	-	-	-	-	-
	4,073	4,199	4,408	4,443	4,455	4,973	5,524	6,029	6,483	6,903
Current Assets										
Inventory	5	5	5	5	5	6	6	6	7	7
Trade and Other Receivables	358	279	296	210	281	314	322	329	337	348
Cash and short term investments	696	779	656	552	578	843	1,204	1,637	2,141	2,720
Investment	-	-	50	-	-	-	-	-	-	-
Tax Recoverable	-	-	-	71	20	20	20	20	20	20
	1,059	1,062	1,008	838	884	1,183	1,552	1,992	2,505	3,095
Total Assets	5,132	5,261	5,416	5,281	5,339	6,156	7,076	8,021	8,988	9,998
Non-Current & Current Liabilities										
Non-Current Liabilities										
SMTN	1300	1150	975	850	725	620	530	453	387	331
Sukuk Wakalah for WP2	0	0	0	0	0	624	1024	1431	1845	2568
Service Concession Obligation	215	168	116	61	0	0	0	0	0	0
Lease Liabilities	31	42	46	42	41	132	237	341	446	563
Employee Benefits	9	9	9	9	9	9	9	9	9	9
Deferred Tax Liabilities	368	391	384	426	428	428	428	428	428	428
	1,923	1,760	1,530	1,388	1,203	1,813	2,228	2,662	3,115	3,899
Current Liabilities										
Trade and Other Payables	117	167	147	195	159	170	174	178	182	188
Provision	340	271	314	221	244	244	244	244	244	244
Borrowings	100	150	175	125	125	125	125	125	125	125
Service concession obligation	45	48	52	55	61	61	61	61	61	61
Lease Liability	31	24	24	24	27	27	27	27	27	27
Tax Payable	16	13	47	0	0	0	0	0	0	0
	649	673	759	620	616	627	631	635	639	645
Total Liabilities	2,572	2,433	2,289	2,008	1,819	2,440	2,859	3,297	3,754	4,544
Equity										
Share Capital	1038	1,038	1,038	1,038	1,038	1,038	1,338	1,638	1,938	1,938
Reserve	1,522	1,790	2,089	2,235	2,482	2,678	2,879	3,087	3,296	3,517
	2,560	2,828	3,127	3,273	3,520	3,716	4,217	4,725	5,234	5,455
Total Liabilities and Equity	5,132	5,261	5,416	5,281	5,339	6,156	7,076	8,021	8,988	9,998
Share Outstanding (million)	3412	3412	3412	3412	3412	3412	3484	3556	3628	3700

*Minor Discrepancies may exist due to the rounding off effect

**Share outstanding was calculated based on December 2024 monthly share price of MYR4.19 (discounted 5%)

Assumption for the Statement Of Financial Position	
Assets:	
<u>Property, Plant and Equipment</u>	
Addition (Capital Expenditure)	Based on 1) Historical Capex to Revenue ratio 2) Westports management plans on Westports 2 expansion
Depreciation Charge	Based on the average depreciation rate from the past 5 years
<u>Concession Asset</u>	
Addition (Capital Expenditure)	Based on 1) Historical Capex to Revenue ratio 2) Management's plan to incorporate the Marine Island acquisition into concession assets
Amortization Charge	Relatively small item: assumed to constant
<u>Right-of-use Asset</u>	
Addition (Capital Expenditure)	Loan Drawdown from Lease Liability
Depreciation Charge	Relatively small item: assumed to constant
Investment in Joint Venture	Assumed to be constant
Inventory	Assuming an inventory turnover of 2 days
Trade and Other Receivables	Assuming a trade receivables collection period of 53 days
Cash and short term investments	From Statement of Cash Flows
Equity:	
Share Capital	Based on 1) Westports dividend reinvestment plan (DRIP) 2) newly issued share at a 5% discounted price the midpoint of Bursa Malaysia
Reserve	25% plowback ratio based on Westport 75% dividend payout policy
Liability:	
SMTN	Repayment is based on simple average of past 5 years of the repayment % based on the outstanding balance
Sukuk Wakalah for WP2	Based on 1) Opening with a Marina Land acquisition in 2024, 2) Drawdown is based on capex*0.4 since debt-to-equity ratio is 40:60
Service Concession Obligation	Repayment is based on the simple average of the repayment amounts of past 5 years
Lease Liabilities	Based on 1) Fixed lease effective 1 September 2024 of WP1 of RM90m and WP2 of RM1m 2) The future lease increase rate will be in line
Deferred Tax Liabilities	Assumed to be constant
Trade and Other Payables	Assuming a trade payables collection period of 70 days
Provision	Assumed to be constant
Tax Payables	Assumed to be constant

Source: Team Analysis

Appendix 9: Statement of Cash Flow

In MYR millions	2019 Actual RM	2020 Actual RM	2021 Actual RM	2022 Actual RM	2023 Actual RM	2024 Expected RM	2025 Forecast RM	2026 Forecast RM	2027 Forecast RM	2028 Forecast RM
Cash from operating activities										
Profit before Tax	774	864	1,040	943	1,004	1,031	1,058	1,084	1,112	1,153
Adjustment	393	364	323	296	299	235	303	372	442	516
Operating Profit/(Loss) Before Working Capital Changes	1,167	1,228	1,363	1,239	1,303	1,266	1,361	1,456	1,554	1,668
Changes in working capital:										
Inventories	1	1	-1	0.02	0.01	0	0	0	0	0
Trade and other receivables, excluding payment for dredging expenses	77	70	-17	89	-68	-34	-7	-7	-8	-11
Payment for dredging expense	-13	0	-5	-12	-11	0	0	0	0	0
Trade and other payables	-61	52	-18	50	-35	11	4	4	4	6
Provisions	51	-69	43	-93	24	0	0	0	0	0
Cash Generated From/(Used In) Operations	1,222	1,282	1,365	1,273	1,213	1,243	1,357	1,453	1,550	1,663
Income tax paid	-189	-191	-204	-320	-175	(245)	(251)	(257)	(264)	(274)
Interest paid	-73	-66	-61	-53	-43	(70)	(83)	(97)	(112)	(127)
Retirement benefits paid	-0.182	-0.136	-1	-0.308	-0.369	0	0	0	0	0
Net Cash Generated From/(Used In) Operating Activities	960	1,025	1,099	899	995	928	1,023	1,098	1,174	1,263
Cash from investing activities										
Interest received	13	11	7	6	8	9	9	9	9	9
Share of results of a joint venture	0	0	0	0	0	19	19	19	19	19
Income received from money market funds	3	6	6	6	3	5	5	5	5	5
Proceeds from disposal of property, plant and equipment	0	0	2	0	2.7	0	0	0	0	0
Redemption of Sukuk Prihatin	0	0	0	50	0	0	0	0	0	0
Subscription for investment	0	-50	0	0	0	0	0	0	0	0
Investment in a joint venture	0	0	-115	0	0	0	0	0	0	0
Addition to concession asset	-24	-191	-116	-31	-120	-459	-106	-109	-111	-115
Addition to Right of use asset						-91	-105	-105	-105	-118
Purchase of property, plant and equipment	-57	-132	-255	-215	-107	-165	-594	-598	-602	-608
Net Cash (Used In)/Generated From Investing Activities	-65	-356	-471	-184	-213	-683	-773	-779	-786	-809
Cash from financing activities										
Dividends paid to shareholders	-446	-386	-510	-552	-534	-590	-605	-620	-636	-659
Redemption of borrowings – SMTN	-100	-100	-150	-175	-125	-105	-90	-77	-66	-56
Annual lease paid for use of port infrastructures and facilities	-59	-59	-59	-61	-61	0	0	0	0	0
Proceed from borrowing	0	0	0	0	0	715	505	511	518	841
Proceed from DRIP	0	0	0	0	0	0	300	300	300	0
Fixed deposits pledged for borrowings	-1	-1	-1	-1	-1	0	0	0	0	0
Repayment of lease liabilities	-39	-41	-32	-31	-36	0	0	0	0	0
Net Cash Used In Financing Activities	-645	-587	-752	-820	-757	20	110	114	116	126
Net Inflow / (Outflow)	250	82	-124	-104	24	265	361	434	504	580
Cash and Bank (Opening)	407	657	739	615	511	578	843	1,204	1,637	2,141
Cash and Bank (Closing)	657	739	615	511	535	843	1,204	1,637	2,141	2,720
Pledged deposits	39	40	41	41	42	0	0	0	0	0
	696	779	656	552	578	843	1,204	1,637	2,141	2,720

Source: Team Analysis

Appendix 10: Discounted Cash Flow Model

Discounted Cash Flow Full						
Period	0	1	2	3	4	5
Free Cash Flows						
CFO		927.71	1023.48	1098.45	1173.80	1262.72
CapEx		(719)	(813)	(824)	(835)	(863)
FCF		209	211	275	339	400
WACC						
WACC	6.55%					
Terminal Value						
Growth rate						4.0%
Perpetuity Growth						16,297
Discounting						
Discount Factor		0.94	0.88	0.83	0.78	0.73
PV of FCF		196	185	227	263	291
PV of TV						11,867
Enterprise Value	13,029					
Enterprise Value to Equity Value						
Cash	578					
Long-term & Short-term Debt	9					
Equity Value	13,598					
Shares Outstanding	3,410,000,000					
Implied Share Price	3.99					

Source: Team Analysis

Appendix 11: ESG Evaluation Rubric

Score	1	2	3	4	5
Environmental Impact	No environmental policies or compliance with regulations. No sustainability efforts.	Basic compliance with regulations. Limited efforts like waste disposal or energy use reduction.	Moderate initiatives, such as recycling programs, energy savings, or renewable resource use. Clear environmental goals but limited progress.	Strong sustainability practices, including carbon reduction and renewable energy use. Measurable progress with clear, transparent reporting.	Comprehensive and innovative environmental strategy. Achieving ambitious goals like net-zero emissions or carbon neutrality. Industry-leading sustainability practices and full transparency in reporting.
Social Responsibility	No focus on social responsibility, employee welfare, or community engagement. No diversity or inclusion programs.	Basic social initiatives, such as health and safety programs, but limited diversity or community outreach efforts.	Moderate social responsibility practices, such as diversity programs, employee welfare, and community engagement with measurable outcomes.	Strong commitment to social responsibility, with robust DEI programs, employee well-being initiatives, and active community engagement. Regular reporting and positive outcomes.	Exemplary commitment to social responsibility with industry-leading diversity, philanthropy, and employee well-being programs. Tangible positive societal impact and measurable leadership in social issues.
Governance Practices	No formal governance structure or oversight. No transparency in decision-making.	Basic governance structure, but lacks transparency, accountability, and risk management measures. Minimal governance disclosures.	Adequate governance framework with ethics policies, some transparency, and risk management practices. Governance disclosures are regular but could be more detailed.	Strong governance with clear policies on ethics, independent oversight, and detailed risk management. High levels of accountability and transparent decision-making processes.	Best-in-class governance, with fully independent oversight, robust anti-corruption measures, and detailed, transparent reporting. Clear ethical guidelines, regular disclosures, and integration of risk management.
Environmental Reporting	No reporting on environmental impact or performance.	Minimal environmental reporting, lacking key metrics or transparency in sustainability efforts.	Regular environmental reporting with key metrics, but lacking some detail or transparency on goals and progress.	Comprehensive environmental reporting with clear metrics, targets, and progress. Transparent, regular updates on sustainability goals and achievements.	Full, transparent, and detailed environmental reporting, with ambitious goals and clear, measurable results. Exceeds industry reporting standards and provides regular, accessible updates.
Stakeholder Engagement	No stakeholder engagement or communication on ESG issues.	Minimal communication with stakeholders, with limited engagement on ESG matters.	Moderate engagement with stakeholders, including shareholders, employees, and communities. Occasional reporting on ESG efforts.	Strong stakeholder engagement, with regular communication on ESG performance. Includes employees, investors, and the community in decision-making processes.	Comprehensive stakeholder engagement. Actively involves all relevant parties in decision-making, with clear, consistent communication on ESG strategies and outcomes.

Source: Team Analysis

Appendix 12: Board of Directors' Bios

Name	Gender	Position	Independent	Background
Datuk Ruben Emir Gnanalingam bin Abdullah	Male	Executive Chairman and Group Managing Director	No	Datuk Ruben Emir Gnanalingam bin Abdullah was appointed as Director of the Company on 5 July 2005. Datuk Ruben started his career as a trainee in WMSB in 1999. He was later appointed as Chief Executive Officer on 15 January 2009, a position he held until 31 December 2017 before being appointed as the Group Managing Director for Westports Holdings Berhad on 1 January 2018. Datuk Ruben was appointed as Executive Chairman and Group Managing Director on 20 July 2023.
Ahmad Zubir bin Zahid	Male	Chairman, Audit Committee	Yes	Encik Ahmad Zubir bin Zahid holds a Master of Business Administration from the University of Chicago Booth School of Business and obtained his Bachelor of Science in Economics and Accounting from the University of Bristol in the United Kingdom. He also holds a Postgraduate Certificate in Laws (Distinction) from the University of London. He was appointed as a member of the Risk Management Committee on 1 January 2022 and as the Chairman of the Audit Committee on 1 March 2022. He attended all four Board Meetings held during the financial year.
Chan Soo Chee	Male	Chairman, Nomination And Remuneration Committee	Yes	Mr. Chan is currently a member of the Audit Committee upon his appointment as the Board committee member on 1 January 2018. Mr. Chan was also appointed as the Chairman of Nomination and Remuneration Committee on 1 March 2022. Mr. Chan started his career in the maritime industry and has over 35 years of experience spanning South East Asia, Africa, South and West Asia. He qualified as a Master Mariner from the Government of Great Britain in 1987 prior to joining Orient Overseas Container Line ("OOCL") Hong Kong and Japan.
Shanthi Kandiah	Female	Chairperson, Risk Management Committee	Yes	Ms. Shanthi Kandiah was appointed as Independent Non-Executive Director of the Company on 1 August 2017. On 1 January 2022, she was appointed as the Chairperson of the Risk Management Committee and a member of the Sustainability Committee. She was appointed as the Company's Nominee Director to Port Klang Cruise Terminal Sdn Bhd on 1 December 2021.
Datuk Siti Zauyah binti Md Desa	Female	Chairperson, Sustainability Committee	Yes	Datuk Siti Zauyah was appointed as Independent Non-Executive Director of the Company on 1 January 2022. Prior to that, she was appointed to WMSB on 17 May 2021 and resigned on 31 December 2021.
Sing Chi IP	Male	Non-Independent Non-Executive Director	No	Mr. Ip has over 40 years' of experience in the maritime industry, having joined Sun Hing Shipping Co., Ltd. in 1979 as an account executive. Subsequently, he joined Hongkong International Terminals Limited in 1993 as General Manager of commercial and was the Managing Director of the company from 1998 to 2011. In 2005, he was appointed as Director of Hutchison Port Holdings Limited ("Hutchison Ports"), and is currently the Group Managing Director of Hutchison Ports.
Diana Tung Wan LEE	Male	Risk Management Committee	No	Ms. Lee is currently the Group Chief Financial Officer of Hutchison Port Holdings Limited ("Hutchison Ports"). She has extensive experience in financial and accounting matters as well as financial reporting and regulatory compliance. She was appointed as a member of the Risk Management Committee on 1 January 2022.
Tan Sri Dato' Seri Mohd Khairul Adib bin Abd Rahman	Male	Nomination and Remuneration Committee	Yes	Tan Sri Dato' Seri Mohd Khairul Adib was appointed as Independent Non-Executive Director of the Company on 1 September 2022. Prior to that, he was appointed to WMSB on 15 February 2022 and resigned on 1 September 2022. Tan Sri Dato' Seri served as Director-General of the Public Service Department from 1 October 2019 to 16 January 2022. Prior to that, Tan Sri Dato' Seri was the Secretary-General of the Ministry of Transport.
Dato' Tengku Marina binti Tunku Annuar	Female	Nomination and Remuneration Committee	Yes	Dato' Tengku Marina graduated with a Bachelor of Arts in International Relations from London University, United Kingdom. She started her career as a Public Relations Officer in Malaysia Airlines, United Kingdom. She was appointed as a member of the Sustainability Committee on 1 September 2022 and as a member of Nomination and Remuneration Committee on 9 June 2023.
Shaline Gnanalingam	Female	Non-Independent Non-Executive Director	No	Ms. Shaline Gnanalingam has a Bachelors degree in Economics from the University of Cambridge. Additionally, she earned a Master of Business Administration (honours) from the University of Chicago Booth School of Business. Currently, Ms. Shaline serves as the Chief Investment Officer at Pembinaan Redzai Sdn Bhd, a major shareholder of the Company since 2008. She was appointed as Director of Westports Foundation on 8 November 2023.

Source: Company Filing

Appendix 13: Management's Bios

Name	Gender	Position	Background
Lee Mun Tat (Eddie)	Male	Chief Executive Officer/ Acting Chief Financial Officer	Mr. Lee Mun Tat (Eddie), Chief Executive Officer of WMSB, is primarily responsible for controlling and overseeing across multiple divisions covering Commercial, Finance, Marketing, Legal, Corporate Communications and Engineering of WMSB. He has been appointed as a Director of WMSB on 9 June 2023. Prior to his current role and responsibility with WMSB, Mr. Eddie has demonstrated his competency by holding different management roles including the Senior General Manager (in 2017), Head of Commercial (from 2006 to 2016) and Finance Manager (from 2003 to 2005).
Vijaya Kumar Puspowanam	Male	Deputy Chief Executive Officer	Mr. Vijaya Kumar rejoined Westports as the Deputy CEO in May 2023. He is responsible for various departments such as Container Operations, Container Planning, Container Marketing, Maintenance & Repair and the Port Police. H
Tan Wei Chun	Male	General Manager Information Technology	Mr. Tan Wei Chun holds a Degree in Transportation and Logistics from the Chartered Institute of Transport since 1997. With an impressive 25 years of experience, Mr. Tan has excelled in various domains including terminal capacity planning, strategic yard planning, vessel stowage planning, cargo terminal operations, control room operations, systems project management, and operations information system development.
Nanthakumar A/L Murokana @ Murugan	Male	General Manager Conventional Business	Mr. Nanthakumar is currently holding the post of General Manager for Conventional Business which covers both Marketing and Operational aspects of Conventional business. He has 24 years of experience in Container Operations and in areas of capacity planning, yard planning, Training & Development, Logistic section, Control room operations and Project management .
Rosman bin Mohd Yunus	Male	Head of Department Container Operations and Resources	Mr. Rosman Bin Mohd Yunus joined the Westports Group in 15 August 2005 as a Vessel Planner and promoted to Vessel Planning Manager in 2012. In June 2022, he was promoted to Head of Container Operations & Resources department. His responsibility includes leading the Container Operation team towards high productivity with effective cost management .He has 18 years of experience in Container Operations and Planning including in areas of vessel planning, control room operations and resources management .
Ahmad Damanhury bin Ibrahim	Male	Head of Engineering	Mr. Ahmad Damanhury holds a Degree in Civil Engineering from Syracuse University, New York, a Diploma in Port Management from the University of Cambridge Local Examinations and a Masters of Science in Facilities Management. He is currently fully involved in all technical matters for the designs, planning and management of the planned constructions works for the 4.8km Westports 2 Expansion projects development, besides rendering technical supports to the existing port infrastructures and facilities, hydrography and maintenance dredging works.
Nadarajan A/L Krishnan	Male	Head of Planning Department	Mr. Nadarajan has 22 years of experience in container operations and yard planning. He is heading the Planning Department, and he is responsible for the overall yard planning, berth planning, vessel planning and operations of the container gates. He is also involved in succession planning and competencies development for his team members through coaching and training.
Megat Amirul Zameer bin Megat AB.Rahman	Male	Head of Finance	Mr. Megat Amirul joined the Westports Group in November 2019 as a Senior Finance Manager and he assumed his current position with effect from August 2020 with the responsibility for overseeing financial related matters of Westports.
Muhammad Imran Kunalan bin Abdullah	Male	Head of Human Resources	Mr. Muhammad Imran Kunalan bin Abdullah joined Westports Group in April 2023 as the Head of Human Resources at Westports Malaysia. A graduate of the Universiti Pertanian Malaysia (1991), Mr. Imran brings more than 30 years of experience in the field of human resources. His industry exposures as an HR practitioner are from KFC Holdings (QSR), HSBC, British American Tobacco, Multimedia Development Corporation (MDEC) and Huawei Technologies in Shenzhen, China.

Source: Company Filing

Appendix 14: Top 30 Shareholders

No. Name	No. Of Shares	%	No. Name	No. Of Shares	%
1. Pembinaan Redzai Sdn Berhad	1,400,361,500	41.07	16. Amanahraya Trustees Berhad - Amanah Saham Malaysia 3	12,892,100	0.38
2. Maybank Securities Nominees (Asing) Sdn Bhd - Pledged Securities Account for South Port Investment Holdings Limited	802,962,600	23.55	17. Permodalan Nasional Berhad	12,776,900	0.38
3. Kumpulan Wang Persaraan (Diperbadankan)	194,732,424	5.71	18. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (AberIslamic)	11,604,900	0.34
4. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board	158,916,807	4.66	19. Amanahraya Trustees Berhad - Amanah Saham Malaysia	10,233,400	0.30
5. Semakin Ajaib Sdn Bhd	99,438,500	2.92	20. Cartaban Nominees (Tempatan) Sdn Bhd - PAMB For Prulink Equity Focus Fund	9,505,700	0.28
6. Amanahraya Trustees Berhad - Amanah Saham Bumiputera	78,504,700	2.30	21. Pertubuhan Keselamatan Sosial	8,942,200	0.26
7. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (Islamic)	66,500,993	1.95	22. Citigroup Nominees (Tempatan) Sdn Bhd - Urusharta Jamaah Sdn. Bhd. (Aberdeen 2)	8,380,000	0.25
8. Lembaga Tabung Haji	64,071,800	1.88	23. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (CGS CIMB)	8,033,700	0.24
9. HSBC Nominees (Asing) Sdn Bhd - JPMCB NA For Vanguard International Value Fund	48,658,900	1.43	24. Cartaban Nominees (Tempatan) Sdn Bhd - PBTF For Takafulink Dana Ekuiti	7,228,400	0.21
10. DB (Malaysia) Nominee (Tempatan) Sendirian Berhad - Pledge Securities Account - DB Singapore WM Client For Pembinaan Redzai Sdn. Bhd.	45,000,000	1.32	25. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (Asian Islamic)	6,327,700	0.19
11. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (Aberdeen)	29,712,100	0.87	26. Cimsec Nominees (Tempatan) Sdn Bhd - CIMB For Semakin Ajaib Sdn Bhd (PB)	6,200,000	0.18
12. Citigroup Nominees (Tempatan) Sdn Bhd - Kumpulan Wang Persaraan (Diperbadankan) (Aberdeen)	22,966,600	0.67	27. Citigroup Nominees (Asing) Sdn Bhd - CBNV For Norges Bank (FI 17)	6,186,912	0.18
13. Amanahraya Trustees Berhad - Amanah Saham Bumiputera 2	20,700,000	0.61	28. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (Amundi)	6,015,000	0.18
14. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (Nomura)	18,572,900	0.55	29. Amanahraya Trustees Berhad - Public Islamic Equity Fund	5,780,200	0.17
15. Amanahraya Trustees Berhad - Public Islamic Dividend Fund	15,736,900	0.46	30. Citigroup Nominees (Tempatan) Sdn Bhd - Employees Provident Fund Board (BNP Najmah EQ)	5,535,700	0.16
			Total	3,192,479,536	93.62

Source: Company Filing

Appendix 15: Reference

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